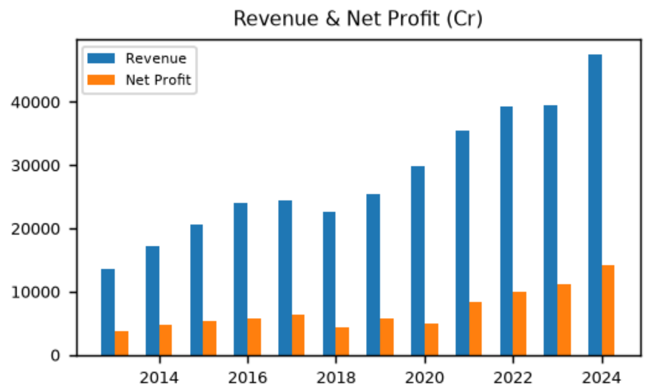
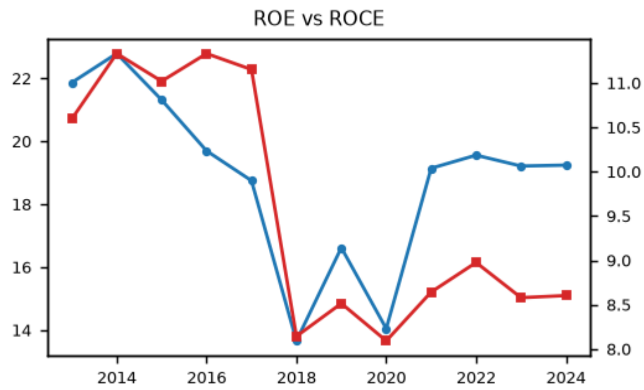
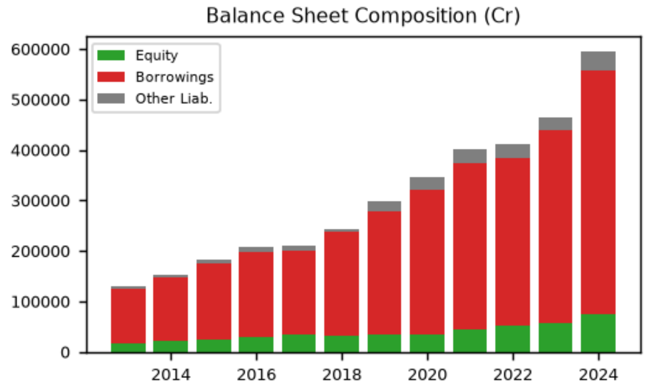
REC Ltd (RECLTD)

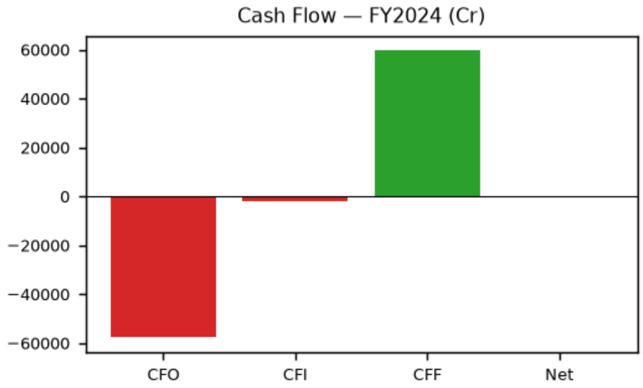
Financials · Fiscal Year 2024

ROE 19.2%	**ROCE** 8.6%	**Net Profit Margin** 29.8%
D/E 6.6	**Revenue CAGR 5yr** 13.3%	**FCF (Cr)** -59,554









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt